**25901169**

**MAHATMA GANDHI UNIVERSITY, KOTTAYAM**
**MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026**
**Fourth SEMESTER**
**Discipline Specific Elective (DSE) - MG4DSECOM200 - ADVANCED ACCOUNTING**
**(2024 ADMISSION ONWARDS**

## Part A Very Short Answer Questions (Word/Phrase/Sentence)
**Answer any 12 questions Each question carries 1 mark**

1. **Distribution**: Allocating a portion (usually 95% or more) as a Bonus to policyholders and a small portion (usually 5% or less) to Shareholders. **Retention**: Carrying forward a part of the surplus as a Balance in the Life Assurance Fund to strengthen future solvency.
2. Pooling of Interest Method (Amalgamation in nature of merger).
3. Capital & Reserves.
4. Financial Strength /Credit worthiness/liquidity
5. Share Capital (Schedule 5) and Reserves and Surplus (Schedule 6) (Give marks if any other schedule is listed)
6. Market Value Method is not used. (Any method other than the applicable method)
7. Pay-in-slip.
8. Non-Performing Assets.
9. Life Assurance Fund is prepared after Actuarial Valuation .It is net funds available with a company to meet future liabilities and shareholders benefits.
10. Yes the old shareholders of the company continue as shareholders of new company.
11. 100 Percent Provision.
12. Core Capital of banks.
13. Consideration for Annuity is a lump-sum (one-time) payment to secure a regular future income. Life Insurance Premium is a periodic (recurring) payment to secure a death or maturity benefit.
14. Rebate

## Part B Short Answer/ Problem Type Questions
**Answer any 4 questions Each question carries 7 marks**

**15.**Claim refers to the amount payable by the insurance company to the policyholders who have suffered losses on account of an insured event. In life insurance claims arise on account of death of the policy holder or maturity of policy. The following points are followed in calculating claims as per Schedule 4 (Benefits Paid) in the revenue account: 1) Closing outstanding claim is added and opening outstanding claim is deducted from claim.2) Claim on reinsurance ceded is deducted and claim on reinsurance accepted is added in Schedule 4 3) Any claim covered under reinsurance (Reinsurance Claims) are subtracted.Net balance of claims with other benefits paid will appear in the Revenue Account.

**16. Amount of premium to be credited in Revenue Account**

| | |
|---|---|
| Premium received during 2017-18 | 32,00,000 |
| **Add:**<br>Outstanding premium on 31.3.2018 | 2,20,000 |
| Premium received in advance on 01.04.2017 | 1,00,000 |
| Bonus in reduction of premium adjusted | 50000 |
| **Less:**<br>Premium received in advance on 31.03.2018 | 80,000 |
| Reinsurance premium for the year | 200000 |
| Outstanding premium on 01.04.2017 | 200000 |
| **Amount to be credited** | **3090000** |

**17. Calculation of Purchase Consideration Intrinsic Value Method**

| | Raju Ltd. | Radha Ltd. |
|---|---|---|
| Share Capital (Rs. 10 Each) | 6,00,000 | 2,00,000 |
| No. of shares (Share capital/ Share price) | 60,000 | 20,000 |
| Value of shares as per scheme of amalgamation | 15 | 25 |
| Purchase Consideration = no of Shares * Share price | 60,000*15 | 20,000*25 |
| | **Rs. 9,00,000** | **Rs. 5,00,000** |

**18. Profit and Loss Account of MGM Bank**

**For the year ended 31st March ____**

| | Sch No | Amount (Rs in '000) |
|---|---|---|
| INCOME:- | | |
| Interest earned | 13 | 7,900 |
| Other income | 14 | 100 |
| Total (A) | | 8,000 |
| EXPENDITURE:- | | |
| Interest expended | 15 | 3,200 |
| Operating Expenses | 16 | 851 |
| Provisions and Contingencies | -- | 300 |
| Total (B) | | 4,351 |
| PROFIT AND LOSS:- | | |
| Net profit for the year (A - B) | | 3,649 |

| | | |
|---|---|---|
| Profit brought forward | | --- |
| Total | | 3,649 |
| APPROPRIATIONS:- | | |
| Transfer to Statutory Reserve (25% of CY) | | 912.25 |
| Transfer to Other Reserve | | -- |
| Transfer to Government/Proposed Dividend | | -- |
| Balance carried over to Balance sheet | | 2,736.75 |
| Total | | **3,649** |

( 1.5 mark each for each schedule totals and 1 mark for appropriations)

Schedule 13 Interest Earned

| | Rs in '000 |
|---|---|
| Interest on Loans | 2,490 |
| Interest on Overdraft | 1,600 |
| Interest on Cash Credit | 2,320 |
| Discount on bills Discounted | 1,490 |
| | **7,900** |

Schedule 14 Other Income

| | Rs in '000 |
|---|---|
| Commission (Cr) | 100 |
| | **100** |

Schedule 15 Interest Expended

| | Rs in '000 |
|---|---|
| Interest on Deposit | 3,200 |
| | **3,200** |

Schedule 16 Other Expenses

| | Rs in '000 |
|---|---|
| Sundry Charges (Dr) | 100 |
| Rent and Taxes | 200 |
| Establishment | 500 |
| Audit Fees | 35 |
| Director's Fees | 16 |
| | **851** |

Provisions and Contingencies

| | Rs in '000 |
|---|---|
| Bad Debts | 300 |
| | **300** |

**19.Calculation of ratios and making comparative study :**

| **Name of Bank** | **1) CRAR = (**Tier I +Tier II ) x 100<br>Risk Weighted Asset | **%** |
|---|---|---|
| Travancore Bank Ltd | = (900+200) X 100<br>8000 | 13.75 |
| MSC Bank Ltd | 800+150) X 10**0**<br>7000 | 13.57% |
| **Name of Bank** | **2) Net Profit Ratio = Net Profit* x 100**<br>**Total Income****<br>***Net Profit = [{**(Interest Earned +Non-Interest Income)- (Interest Expended+ Operating Expenses)}<br>– Tax @ 30%<br>**** Total Income** = Interest Income+ Non-interest Income | **%** |
| Travancore Bank Ltd | 490 x 100<br>2500 | 19.6 |
| MSC Bank Ltd | 420 x 100<br>2000 | 21 |
| **Name of Bank** | **3) Return on Equity =** Profit After Tax* x 100<br>Shareholder's Fund<br>***Profit after tax= [{**(Interest Earned +Non-Interest Income)- (Interest Expended+ Operating Expenses)}<br>– 30%(Tax) | **%** |
| Travancore Bank Ltd | 490 x 100<br>3000 | 16.33 |
| MSC Bank Ltd | 420 x 100<br>2000 | 21 |

**Comparative Study:** 1) **Profitability:** Regarding Profitability MSC Bank is 21 % which is more than Travancore Bank(19.6%).This shows that MSC Bank is more profitable and gives more return to its shareholders (21%)than Travancore Bank Ltd.2) **Efficiency:** Regarding the CRAR which measures banks financial strength and stability, Travancore bank has 13.75% as CRAR and MSC Bank has 13.57% .Thus Travancore Bank has strong Capital Ratio than MSC Bank.

**( 2 marks for each ratio and 1 mark for comparison)**

**20.**Qualitative Indicators for evaluating bank performance are:1) Customer Service quality- how effectively a bank meets the expectations of its customers through products, communications and overall service experience.2) Technology Adoption: Adoption of technology improves efficiency, security, customer experience and competitiveness. Digital banking, automation, data driven decisions etc are examples. It increases transparency reduces fraud, becomes cost effective.3) Management efficiency: Quality of management in utilising its resources, sustained profitability, financial stability and customer trust are examples of the efficiency of management.4) Compliance and Risk Management: In order to maintain stability, ensure sustainability and reduce loss banks have to follow RBI Guidelines, Banking Regulation Act, FEMA, KYC , AML norms etc. Adherence to Laws such as Companies Act, Income Tax Act, PMLA etc and follow Code of Conduct, Operational Manuals and audit

recommendations. (Points like Corporate Governance, Employee engagement, Cyber security and any other relevant factor- ) Any 3 points with brief explanation-

**Part C Essay-Problem Type Question- Answer any 2 questions**

**Each question carries 15 marks**

**21.** Form A-RA

Bharat Life Assurance Co. Ltd.

Revenue Account (Policyholders' Account)

For the year ended 31st March, 2006

| **Particulars** | **Schedule No:** | **Rs.** |
|---|---|---|
| Premium Earned (Net) | 1 | 1,73,500 |
| Income from Investments | | 1,32,000 |
| **Total (A)** | | 3,05,500 |
| Commission | 2 | 9,300 |
| Operating Expenses | 3 | 32,500 |
| **Total (B)** | | 41,800 |
| Benefits Paid (Net) | 4 | 2,44,800 |
| **Total (C)** | | 2,44,800 |
| **Surplus D=A-B-C** | | 18,900 |
| Appropriations | | |
| Transfer to shareholders account | | - |
| Transfer to other reserves | | - |
| Transfer to fund for future appropriations | | 18900 |
| **Total (D)** | | **18900** |

**Schedule 1-Premium earned (Net)**

| | |
|---|---|
| Premium Received | 1,61,500 |
| Add: Premium Outstanding | 12,000 |
| Premium Earned (Net) | 1,73,500 |

**Schedule 2-Commission**

| | |
|---|---|
| Commission Paid | 6,300 |
| Total | 6,300 |

**Schedule 3-Operating Expenses**

| | |
|---|---|
| Management Expenses | 32,300 |
| Add: Management Expenses Due | 200 |
| Total | 32,500 |

**Schedule 4-Benefits paid (Net)**

| | |
|---|---|
| 1. Claims paid | 1,97,000 |
| Add: Claims admitted but not paid | 9,300 |
| | 2,06,300 |
| 2.Bonus to Policy holders | 31,500 |
| 3.Surrenders | 7,000 |
| Total | 2,44,800 |

**( 3 marks each for schedules and 3 marks for the format and surplus in Revenue Account)**

**22.** ( Value Liberally)

Calculation of Purchase consideration

Payment given to shareholders = 2500 shares @ 60 paid = 1,50,000

**Balance Sheet of M/s Fortune Ltd as per Schedule III of Companies Act, 2013**

**As on ----------**

**I. EQUITY AND LIABILITIES**

| **Particulars** | **Note No.** | **Amount (₹)** |
|---|---|---|
| **1. Shareholders' Funds** | | |
| Share Capital | 1 | 2,50,000 |
| **2. Non-Current Liabilities** | | |
| Long-term Borrowings | 2 | 55,000 |
| **Total** | | **3,05,000** |

**II. ASSETS**

| **Particulars** | **Note No.** | **Amount (₹)** |
|---|---|---|
| **1. Non-Current Assets** | | |
| Goodwill | 3 | 95,500 |
| Plant & Machinery* | 4 | 75,000 |
| **2. Current Assets** | | |
| Inventories | | 50,000 |
| Trade Receivables | | 57,000 |
| Cash & Cash Equivalents | 5 | 27,500 |
| **Total** | | **3,05,000** |

**Notes to Accounts**

**Note 1: Share Capital**

2500 Equity Shares of ₹100 each = ₹2,50,000

(₹60 called-up + ₹40 uncalled)

**Note 2: Long-term Borrowings**

Debentures = ₹55,000 $(1{,}25{,}000 - 15{,}000) \div 2 = 55{,}000$

**Note 3: Goodwill**

$92{,}000 + 3{,}500 = 95{,}500$

**Note 5: Cash and Cash Equivalent**

1. Taken over balance 1,000
2. Share issue 1,00,000

1,01,000

Less:-

1. Preferential creditors 15,000
2. Unsecured creditors 55,000
3. Liquidation expenses 3,500 73,500

Balance cash **27,500**

*(*Note- Full consideration shall be given if the student has considered Land and Building as also being taken over as it is mentioned that the business is taken over. In such case, there will be change in the goodwill value (capital reserve and other values)*

**23. Balance sheet of PR Bank as on 31 March 20XX**

| | Sch No | Amount |
|---|---|---|
| Capital and Liabilities: - | | |
| Capital | 1 | 40,00,000 |
| Reserves and Surplus | 2 | 87,00,000 |
| Deposits | 3 | 8,48,00,000 |
| Borrowings | 4 | 47,50,000 |
| Other liabilities and Provisions | 5 | 1,80,000 |
| TOTAL | | **10,24,30,000** |
| Assets :- | | |
| Cash and Balance with RBI | 6 | 1,03,80,000 |
| Balance with banks and money at call and short notice | 7 | 78,00,000 |
| Investments | 8 | 2,50,00,000 |
| Advances | 9 | 5,48,00,000 |
| Fixed assets | 10 | 41,14,000 |
| Other assets | 11 | 3,36,000 |
| TOTAL | | **10,24,30,000** |
| Contingent Liabilities | 12 | Nil |
| Bills for collection | -- | Nil |
| | | |

Schedule 1 Capital

| | Rs |
|---|---|
| Issued and Subscribed Capital | 40,00,000 |
| | **40,00,000** |

Schedule 2 Reserves and Surplus

| | Rs |
|---|---|
| Reserve Fund | 62,00,000 |
| Profit and Loss a/c (1/4/XX) 13,50,000 | |
| Less : Dividend for previous year 4,00,000 | |
| Add : Net Profit for the year after Deducting Statutory Reserve 11,62,500 (15,50,000 – 25% of 15,50,000) | 21,12,500 |

| | |
|---|---|
| Statutory Reserve | 3,87,500 |
| | **87,00,000** |

Schedule 3 Deposits

| | Rs |
|---|---|
| Fixed Deposits | 4,26,00,000 |
| Savings Bank Deposits | 1,90,00,000 |
| Current Accounts | 2,32,00,000 |
| | **8,48,00,000** |

Schedule 4 Borrowings

| | Rs |
|---|---|
| Short Loans | 47,50,000 |
| | **47,50,000** |

Schedule 5 Other Liabilities and Provisions

| | Rs |
|---|---|
| Bills Payable | 70,000 |
| Unclaimed Dividend | 60,000 |
| Rebate on Bills Discounted | 50,000 |
| | **1,80,000** |

Schedule 6 Cash and balance with RBI

| | Rs |
|---|---|
| Cash in hand | 3,80,000 |
| Cash with RBI | 1,00,00,000 |
| | **1,03,80,000** |

Schedule 7 Balance with banks and money at call and short notice

| | Rs |
|---|---|
| Money at call and short notice | 18,00,000 |
| Cash with other banks | 60,00,000 |
| | **78,00,000** |

Schedule 8 Investments

| | Rs |
|---|---|
| Investments | **2,50,00,000** |

Schedule 9 Advances

| | Rs |
|---|---|
| Bills discounted and Purchased | 38,00,000 |
| Loans and cash credits | 5,10,00,000 |
| | **5,48,00,000** |

Schedule 10 Fixed Assets

| | Rs |
|---|---|
| Premises | 29,50,000 |
| Furniture | 11,64,000 |
| | **41,14,000** |

Schedule 11 Other Assets

| | Rs |
|---|---|
| Other Assets | **3,36,000** |

( 1 mark each for each schedule total ( 1 to 11) and 4 marks for format)